

Assets and liabilities released with discontinuing of operation

Whenever a part of the business is shut down, it frees up certain assets and liabilities. Thus, we need to know the impact of Discontinued Operations on Assets and liabilities. We can evaluate why a business or parts of the business have been discontinued. Knowing the reason gives us a better understanding of how the company thinks about its business and why the particular operation was discontinued.

The above are the questions that need to be asked for Discontinued Operations.

Discontinued Operations	
Future Impact on Revenue of discontinued operations	
Future impact on profits and profitability	
Assets and liabilities released with discontinuing of operation	

With this we have understood Discontinued Operations. Let us now move on to contingent liabilities.

Contingent Liabilities

These are liabilities that are possible in the future but not definite. Let's say a court case is going on against the company. If the company loses, it becomes a liability. Such items are called Contingent Liabilities. It is mandatory for the company to report all known Contingent Liabilities.

Going to Note to Accounts, we see a tab on Contingent Liabilities

39 Contingent Liabilities and Commitments		
	As at 31 st March 2021	As at 31 st March 2020
A) Contingent liabilities not provided for:		
1. Claims against the Company not acknowledged as debts comprise:		
a) Income Tax demand against the Company not provided for and relating to issues of deduction and allowances in respect of which the Company is in appeal	58.72	58.50
b) Excise Duty and Service Tax claims disputed by the Company relating to issues of classifications	21.08	22.13
c) Sales Tax (VAT, CST, Entry Tax, LBT and GST) claims disputed by the Company relating to issues of declaration forms and classifications	156.85	165.92
d) Other Matters (relating to disputed Electricity Duty, Gram Panchayat Tax, Open Access Charges, etc.)	3.14	3.14
2. a) Guarantees given by Banks on behalf of Government and others*	43.56	47.86
b) Guarantees given by Company on behalf of the Subsidiaries to Banks*		
Pulvitec do Brasil Industria e Comercio de Colas e Adesivos Ltda	15.44	25.64
Pidilite Barco Ltd	3.16	3.24
Pidilite MEA Chemicals LLC (Previously known as Jupiter Chemicals LLC)	40.04	41.07
Pidilite Lanka Private Limited	32.32	33.15
Barco Supply & Services Ltd	1.07	1.09

* Guarantees given are for business purpose.

Note: The Company, being the holding/ultimate holding company, will extend financial support to its subsidiaries as and when required.